

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DK-BUTTERFLY-1, INC. F/K/A BED BATH & BEYOND INC. v.
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

COMPLAINANT'S EXCEPTIONS TO THE INITIAL DECISION

TABLE OF CONTENTS

INTRODUCTION.....	1
STANDARD OF REVIEW	3
EXCEPTIONS.....	3
I. Under the standard clarified by <i>Evergreen II</i> and <i>TCW II</i> , BBY established a <i>prima facie</i> case that OOCL's detention and demurrage charges were unjust and unreasonable, and OOCL failed to present evidence sufficient to refute BBY's showing.	3
A. Legal Standard	3
B. BBY presented sufficient evidence to establish that OOCL's detention and demurrage charges failed to incentivize fluidity and were unreasonably high, which then shifted the burden onto OOCL to prove that its charges were reasonable.	6
1. BBY demonstrated that the incentive principle could not be satisfied during times of port closures or extrinsic circumstances interfering with freight fluidity, rendering OOCL's detention and demurrage charges unreasonable.	6
2. The specific evidence submitted by BBY concerning detention and demurrage was sufficient to establish a <i>prima facie</i> case of unreasonableness, which should have shifted the burden of proving reasonability to OOCL.	11
3. OOCL's high detention and demurrage rates were not justified by OOCL's opportunity or carrying costs.	23
i. BBY's arguments concerning OOCL's rates satisfied the applicable legal standard.	23
ii. OOCL's detention and demurrage charges served only to maximize OOCL profits, as there were no opportunity costs associated with dwelling containers collecting detention or demurrage.	25
iii. OOCL's detention and demurrage charges served only to maximize OOCL profits, as they bore no relationship to OOCL's low carrying costs for the containers.	26
iv. OOCL's detention and demurrage rates unreasonably burdened BBY more than other shippers.	27
v. BBY proved that OOCL's conduct was the proximate cause of BBY's claimed losses.	28
C. If the Commission deems BBY's showing insufficient, the Commission should remand for additional proceedings.	29
II. The Initial Decision properly found that OOCL retaliated against BBY with respect to the 2022–23 service contract year and BBY should be awarded reparations in the form of doubled lost profits based on BBY's showing in the record or the Commission should remand for further proceedings.	29
A. Legal Standard	29

B. The Initial Decision properly found that OOCL retaliated against BBY with respect to awarded volume for the 2022–23 shipping year.....	30
C. BBY presented ample evidence to support a reasonable inference of BBY’s loss resulting from OOCL’s illegal retaliatory conduct.	30
D. BBY’s prima facie showing of lost profits for the 2022–23 shipping year was sufficient to sustain an award of \$89,812,121.94, or, alternatively, the Commission should remand for further discovery and proceedings.	33
CONCLUSION	35

TABLE OF AUTHORITIES

Cases

<i>Ceres Marine Terminal, Inc. v. Maryland Port Administration</i> , FMC Dkt. No. 94-01, 1997 WL 35281266 (FMC Oct. 10, 1997).....	5
<i>Color Brands, LLC v. AAF Logistics, Inc.</i> , FMC Dkt. No. 22-18, 2024 WL 246193 (FMC Jan. 18, 2024)	5, 22, 29, 30
<i>Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm’n</i> , 174 F.4th 169 (D.C. Cir. 2026) ..	4, 7, 10
<i>Exclusive Tug Arrangements in Port Canaveral, Fla.</i> , FMC Dkt. No. 02-03, 29 S.R.R. 1199, 2003 WL 1017732 (FMC ALJ Mar. 4, 2003).....	6
<i>Kawasaki Kisen Kaisha, Ltd. v. Port Auth. N.Y. N.J.</i> , FMC Dkt. No. 11-12, 2014 WL 7328475 (FMC Nov. 20, 2014)	23
<i>MAVL Capital Inc. v. Marine Transport Logistics, Inc.</i> , FMC Dkt. No. 16-16, 2022 WL 2209421 (FMC June 10, 2022)	32
<i>MCS Indus., Inc. v. Mediterranean Shipping Co. S.A.</i> , FMC Dkt. No. 21-05, 2024 WL 5714531 (FMC Jan. 3, 2024)	5, 22, 29, 34
<i>New Orleans Steamship Ass’n v. Plaquemines Port, Harbor & Terminal Dist.</i> , FMC Dkt. No. 83-2, 1985 WL 148970 (FMC ALJ Dec. 30, 1985).....	5
<i>New Orleans Steamship Ass’n v. Plaquemines Port, Harbor & Terminal Dist.</i> , FMC Dkt. No. 83-2, 28 F.M.C. 556 (FMC Sept. 16, 1986).....	24
<i>OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG</i> , FMC Dkt. No. 21-11, 2024 WL 4034610 (FMC Aug. 27, 2024)	32, 33, 34
<i>ONE Network Express Pte., Ltd. – Possible Violations of 46 U.S.C. § 41102(C)</i> , FMC Dkt. No. 21-17, 2022 WL 16570734 (FMC Oct. 27, 2022)	3
<i>Petchem, Inc. v. Canaveral Port Auth.</i> , FMC Dkt. No. 84-28, 1986 WL 170038 (FMC Mar. 28, 1986)	6
<i>Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.</i> , FMC Dkt. No. 96-05, 2001 WL 865708 (FMC June 1, 2001)	28
<i>Steadman v. SEC</i> , 450 U.S. 91 (1981)	5
<i>TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.</i> , FMC Dkt. No. 1966(I), 2025 WL 516256 (FMC Feb. 13, 2025)	passim
<i>Volkswagenwerk Aktiengesellschaft v. Fed. Mar. Comm’n</i> , 390 U.S. 261 (1968).....	23, 24, 27

<i>William R. Adair v. Penn-Nordic Lines, Inc.</i> , FMC Dkt. No. 1695(F), 1991 WL 383091 (FMC ALJ Sept. 24, 1991)	29
--	----

Rules

46 C.F.R. § 502.227	1
46 C.F.R. § 502.227(a)(6).....	3
46 C.F.R. § 502.251	4, 22
46 C.F.R. § 502.252	4, 22

Regulations

46 C.F.R. § 545.4(e).....	28
Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638 (May 18, 2020)	4

Pursuant to Rule 227 of the Federal Maritime Commission’s (the “Commission”) Rules of Practice and Procedure, 46 C.F.R. Section 502.227, Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“Complainant” or “BBBY”), by and through its undersigned counsel, hereby files its Exceptions to the Initial Decision, entered on April 24, 2026 and files this brief in support of same.¹

INTRODUCTION

Nearly three years after service of the Complaint in this case—including extensive discovery involving hundreds of thousands of pages of document productions, dozens of depositions, and hundreds of pages of briefing on the merits—Chief Administration Law Judge Erin M. Wirth issued her well-reasoned 203-page Initial Decision on April 24, 2026. The Initial Decision is thorough and detailed. It deftly addressed hundreds of pages of briefing and an extraordinarily large record, applying long-standing Commission precedent to the complex facts of this case. ID at 2–3. In doing so, the Initial Decision correctly found that OOCL violated the Shipping Act in numerous respects. *Id.*

In light of the depth and breadth of the Initial Decision, BBBY’s Exceptions are limited, and focus solely on two issues on which Chief Judge Wirth found there was insufficient evidence to award reparations but did not provide BBBY an opportunity to supplement the record. ***First***, the Initial Decision found that BBBY had not submitted sufficient evidence to prevail on its claims in Count II of its Verified First Amended Complaint concerning OOCL’s detention and demurrage charges. However, the case law applicable to Complainant’s detention and demurrage claims has evolved since trial briefing in this case. Indeed, the legal and factual standards related to the incentive principle governing the permissibility of detention and demurrage charges were most

¹ Unless otherwise specified, all defined terms herein take on the same meaning as in the Initial Decision, Dkt. 143 (“ID”). Citations to information in the record are contained in BBBY’s Appendix (“APP-___”).

recently clarified by the U.S. Court of Appeals for the D.C. Circuit just days *after* the Initial Decision was entered. BBY respectfully submits that under that clarified standard, BBY's showing in its trial briefing was sufficient to sustain an award of reparations for OOCL's detention and demurrage practices. The Commission's Rules also specifically authorize the Commission to order a limited remand proceeding, which would enable BBY to present its detention and demurrage evidence in more detail, if the Commission concludes that such detail is necessary to assess BBY's claims.

Second, BBY excepts on a procedural basis regarding BBY's 2022–23 lost profits and the calculation of reparations stemming from OOCL's retaliation against BBY. The Initial Decision properly found that OOCL illegally retaliated against BBY, and specifically found that such retaliation resulted in OOCL's reduced minimum quantity commitment ("MQC") award in the 2022–23 shipping year, but did not award any reparations for the 2022–23 shipping year based on a perceived time period mismatch concerning BBY's lost profits evidence. ID at 194–95. BBY respectfully contends that, contrary to the Initial Decision, BBY submitted sufficiently reliable evidence to demonstrate recoverable lost profits for the 2022–23 shipping year, including an analysis of profitability that explicitly took into account sales and inventory levels extending into the 2022–23 shipping year. OOCL utterly failed to refute that evidence, and in fact submitted *no evidence whatsoever concerning lost profits*. The Initial Decision's finding that a "time period mismatch" affected BBY's lost profits evidence was made *sua sponte* and appeared for the first time in the Initial Decision, at which point BBY had no opportunity to supplement its lost profits showing or explain its relevance to the 2022–23 shipping year. In the alternative, BBY requests that, in light of the Initial Decision's finding that OOCL engaged in unlawful retaliation affecting

the 2022–23 shipping year, the Commission should remand for the limited purpose of calculating an appropriate award of reparations for that shipping year.

Aside from these two limited points, Complainant respectfully submits that the Commission should affirm the Initial Decision.

STANDARD OF REVIEW

When reviewing an initial decision, the Commission has “all the powers which it would have in making the initial decision.” 46 C.F.R. § 502.227(a)(6). Therefore, the Commission reviews the ALJ’s Initial Decision *de novo*. *Id.*; see also *ONE Network Express Pte. Ltd. – Possible Violations of 46 U.S.C. § 41102(c)*, FMC Dkt. No. 21-17, 2022 WL 16570734, at *2 (FMC Oct. 27, 2022).

EXCEPTIONS

- I. **Under the standard clarified by Evergreen II and TCW II, BBY established a prima facie case that OOCL’s detention and demurrage charges were unjust and unreasonable, and OOCL failed to present evidence sufficient to refute BBY’s showing.**

A. Legal Standard

When evaluating the permissibility of detention and demurrage charges, the Commission:

assess[es] reasonableness by balancing how a particular charge fits within the incentive principle to further the primary purpose of promoting freight fluidity alongside other arguments and extenuating circumstances raised by the parties to determine if they are relevant to assessing reasonableness and if so, whether they outweigh the finding under the incentive principle.

TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp., FMC Dkt. No. 1966(I), 2025 WL 516256, at *4 (FMC Feb. 13, 2025) (Order on Remand) (“*TCW II*”). As in *TCW II* itself, even charges that “clearly” create an incentive to return equipment may not always “*promote freight fluidity overall*.” *Id.* (emphasis added). The freight fluidity concept is “broader than simply the quickest equipment return” and requires “balancing competing incentives”. *Id.* at *5. Recently, the U.S.

Court of Appeals for the D.C. Circuit explicitly stated that the Commission “intended the Interpretive Rule to reflect a ‘general principle[]’ that ‘truckers should not be penalized by . . . detention practices when circumstances are such that *they cannot retrieve containers from, or return containers to, marine terminals because under those circumstances the charges cannot serve their incentive function.*’” *Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm’n*, 174 F.4th 169, 175 (D.C. Cir. 2026) (“*Evergreen II*”) (emphasis added) (quoting the FMC’s Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638 (May 18, 2020) (brackets and ellipsis in original). *These circumstances include when ports are closed* after the expiration of free time, when return of containers is impossible. *Id.* at 182. The primary purpose of detention is “incentivizing efficient equipment return to enhance freight fluidity”; the secondary purpose of “compensating carriers for costs incurred due to delay” is *not* prioritized. *Id.* at 178. Accordingly, when empty containers cannot be returned, the imposition of detention charges is likely to be unreasonable. *Id.* at 174.

The Commission’s Rules specifically empower it to grant complainants further opportunity to “make proof” once found entitled to an award of reparations. *See* 46 C.F.R. §§ 502.251–502.252 (providing that “[i]f complainant is found entitled to reparation, the parties *thereafter* will be given an opportunity to agree or make proof respecting the shipments and pecuniary amount of reparation due before the order of the Commission awarding reparation is entered” and that “[w]hen the Commission finds that reparation is due, but that the amount cannot be ascertained upon the record before it, the complainant shall immediately prepare a statement in accordance with the approved reparation statement in Exhibit No. 1 to this subpart, showing details of the shipments on which reparation is claimed . . . [which] shall be filed with the Commission for consideration in determining the amount of reparation due.”) (emphasis added). Indeed, the

Commission’s Rules, including Rules 251 and 252, specifically contemplate ordering such “a further proceeding to determine the measure of damages . . . [which] is particularly important in a case . . . where the violations are continuing in nature and the injury is suffered over a period of time.” *Ceres Marine Terminal, Inc. v. Maryland Port Admin.*, FMC Dkt. No. 94-01, 1997 WL 35281266, at *42 (FMC Oct. 10, 1997) (emphasis added). When the evidentiary support for a calculation of reparations is deemed insufficient, the appropriate remedy is therefore not outright rejection of the claim but “remand for the submission of evidence that is sufficient to support” the claim. *MCS Indus., Inc. v. Mediterranean Shipping Co. S.A.*, FMC Dkt. No. 21-05, 2024 WL 5714531, at *1, *15–16 (FMC Jan. 3, 2024) (finding evidentiary showing supporting damages insufficient, “remand[ing] for the submission of evidence that is sufficient to support the reparations MCS seeks”, and citing Rules 251 and 252); *accord Color Brands, LLC v. AAF Logistics, Inc.*, FMC Dkt. No. 22-18, 2024 WL 246193, at *2 (FMC Jan. 18, 2024) (affirming initial decision on default but remanding for further consideration of reparations).

Under the Commission’s burden-shifting framework, recently affirmed by the Commission in *TCW II*, once a complainant establishes a prima facie case that a challenged practice is unjust or unreasonable, the burden shifts to the respondent to justify its conduct with evidence and argument. *See TCW II*, 2025 WL 516256, at *7 (“Where a party having the burden of proceeding has come forward with a prima facie and substantial case, he will prevail unless his evidence is discredited or rebutted”) (cleaned up) (citing *Steadman v. SEC*, 450 U.S. 91, 101 (1981)); *see also New Orleans Steamship Ass’n v. Plaquemines Port, Harbor & Terminal Dist.*, FMC Dkt. No. 83-2, 1985 WL 148970, at *20–22 (FMC ALJ Dec. 30, 1985) (finding the complainant made a prima facie case of unreasonableness under Section 17 of the Shipping Act, subsequently recodified as 46 U.S.C. Section 41102(c), and “the respondent ha[d] the burden to and must actually justify the

exemptions, however reasonable one might otherwise assume them to be”, which it failed to meet); *Petchem, Inc. v. Canaveral Port Auth.*, FMC Dkt. No. 84-28, 1986 WL 170038, at *13 (FMC Mar. 28, 1986), *petition for rev. denied*, 853 F.2d 958 (D.C. Cir. 1988) (respondents’ inability to justify its practices resulted in findings against it); *Ceres Marine Terminal, Inc.*, 1997 WL 35281266, at *38–39 (finding Ceres met its prima facie burden of proving respondent’s practice was unreasonable and that respondent failed to show that the practice was justified); *Exclusive Tug Arrangements in Port Canaveral, Fla.*, FMC Dkt. No. 02-03, 2003 WL 1017732, at *31 (FMC ALJ Mar. 4, 2003) (“BOE has the burden of persuading the Commission that CPA’s practice of perpetuating [the] exclusive tug franchise was unreasonable. If BOE succeeds in that regard, the burden of proving justification for the exclusive system shifts to CPA”). In *TCW II*, the Commission, applying this framework, found that the complainant established a prima facie case and held that that “[n]one of Respondent’s justifications, either individually or collectively, are sufficient to establish that Respondent’s charges were reasonable”. 2025 WL 516256, at *7.

B. BBY presented sufficient evidence to establish that OOCL’s detention and demurrage charges failed to incentivize fluidity and were unreasonably high, which then shifted the burden onto OOCL to prove that its charges were reasonable.

1. BBY demonstrated that the incentive principle could not be satisfied during times of port closures or extrinsic circumstances interfering with freight fluidity, rendering OOCL’s detention and demurrage charges unreasonable.

During the relevant time period, OOCL imposed \$1,784,164.88 in demurrage charges and \$6,306,612.95 in detention charges (\$8,090,777.83 in total). *See* ID ¶¶ 230-31. The bulk of these charges were assessed during closures or periods of unprecedented congestion. Indeed, in light of the lengthy delays caused by the global supply chain crisis during the COVID-19 pandemic, many of these charges were assessed during scheduled closures, including weekends and holidays, in which no charge could possibly have incentivized the movement of freight, as recently recognized

by the Commission and affirmed by the D.C. Circuit in *Evergreen II*. *Evergreen II*, 174 F.4th at 182 (“charges ‘after the expiration of . . . free time [and] *during the [p]ort’s closure*’” were unreasonable, even when free time had ended prior to the closure and the shipper had advance notice) (brackets, ellipsis, and emphasis in original).

Here, evidence in the record, together with public news reporting (of which the Commission can take judicial notice) and facts uncovered in other Commission proceedings, establish that terminals at the Ports of Los Angeles and Long Beach (i) were generally not “open” for empty returns on holidays and on weekends (which comprise more than 2/7ths, or approximately 30.7%, of the days in each shipping year, as shown below) and (ii) experienced regular periods of limited service or closures that prevented customers from making container pick-ups and returns even on non-holiday weekdays.

First, weekend availability for pickups and returns was not the norm during the time period at issue in this case. The approximately 30.7% figure for when the Ports of Los Angeles and Long Beach were not open counts all weekend days plus Memorial Day, Independence Day, Labor Day, Veterans’ Day, Thanksgiving Day, Christmas Eve, Christmas Day, and New Year’s Day. According to contemporaneous OOCL customer advisories, there were full or partial terminal closures at LA/LB on these holidays:

- May 27, 2021 Customer Advisory²;
- July 1, 2021 Marine Terminal Gate Schedules advisory³;
- Sept. 2, 2021 Customer Advisory⁴;
- Dec. 30, 2021 Marine Terminal Gate Hours advisory⁵;
- May 25, 2022 Marine Terminal Hours advisory⁶;
- Aug. 26, 2022 US & Canada Terminal Closures advisory⁷;

² <https://www.oocl.com/usa/eng/localinformation/localnews/2021/Pages/2021May21.aspx>.

³ <https://www.oocl.com/usa/eng/localinformation/localnews/2021/Pages/2021Jun22.aspx>.

⁴ <https://www.oocl.com/usa/eng/localinformation/localnews/2021/Pages/2021Sept02.aspx>.

⁵ <https://www.oocl.com/usa/eng/localinformation/localnews/2021/Pages/2021Jan04.aspx>.

⁶ <https://www.oocl.com/usa/eng/localinformation/localnews/2022/Pages/2022May25.aspx>.

⁷ <https://www.oocl.com/usa/eng/localinformation/localnews/2022/Pages/2022Aug31.aspx>

- June 30, 2022 Customer Advisory⁸;
- Nov. 8, 2022 US & Canada Terminal Closures advisory⁹;
- Nov. 23, 2022 OOCL Customer Newsletter¹⁰;
- Dec. 22, 2022 Marine Terminal Gate Hours advisory¹¹.

While some holidays fell on weekends, the sources show that such holidays were apparently recognized on one or more weekdays.

Additionally, according to the publicly filed case documents in a Commission proceeding brought by BBBY against BAL Container Line Co., Limited, the Ports of Los Angeles and Long Beach (“LA/LB”) experienced “regular weekend closures” during the 2020–22 period. Complainant’s Opening Brief at 9, *20230930-DK-Butterfly-1, Inc. v. BAL Container Line Co., Ltd.* (“*BBBY v. BAL*”), FMC Dkt. No. 25-01 (May 22, 2026), Dkt. 63; *see also* Costas Paris & Jennifer Smith, *Cargo Piles Up as California Ports Jostle Over How to Resolve Delays*, Wall St. J. (Sept. 26, 2021), <https://www.wsj.com/business/logistics/cargo-delays-are-getting-worse-but-california-ports-still-rest-on-weekends-11632648602> (noting “the busiest U.S. port complex shuts its gates for hours on most days and remains closed on Sundays” and that “[c]argo pickups on Saturday are . . . rare”); Brief of the National Association of Waterfront Employers as Amicus Curiae in Support of Respondents at 5, *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, FMC Dkt. No. 1966(I) (June 2, 2021) , Dkt. 5 (conceding “[t]he fact that ports are normally closed on weekends”).

Second, there were many other closure periods, including holidays, when LA/LB was not fully operational. Submissions in the *BBBY v. BAL* action demonstrate that the Ports of Los Angeles and Long Beach “were frequently closed for periods as short as one day and, on multiple occasions . . . *as long as weeks*”, and that even when open, there were often no appointments

⁸ <https://www.oocl.com/usa/eng/localinformation/localnews/2022/Pages/2022Jun30.aspx>.

⁹ <https://www.oocl.com/usa/eng/localinformation/localnews/2022/Pages/2022Nov08.aspx>.

¹⁰ <https://www.oocl.com/usa/eng/localinformation/localnews/2022/Documents/Customer%20Newsletter%2020221123.pdf>.

¹¹ <https://www.oocl.com/usa/eng/localinformation/localnews/2022/Pages/2022Jan03.aspx>.

available, or “dual transaction” requirements were in place. Complainant’s Opening Brief at 9, *BBBY v. BAL*, Dkt. 63. Submissions in that case also reveal that LA/LB terminal areas were closed or experiencing limited service from October 7, 2021 to October 26, 2021; from November 23, 2021, to December 29, 2021; from January 21, 2022, to February 2, 2022; and from March 9, 2022, to March 20, 2022—approximately **60% of the days** of the relevant time period in that proceeding. *Id.* at 11. While the terminal areas highlighted in *BBBY v. BAL* may not have had identical operating restrictions on the exact same days as the terminal areas used by OOCL, the *BBBY v. BAL* data offers a probative example of how LA/LB terminals operated under limited service or closures for lengthy periods during 2021–22.

Evidence in the record, including internal OOCL communications, also shows that OOCL knew that late 2021 was a problematic time period for equipment returns and pick-ups. *See* APP-3207 (Dep. Ex. 86 at OOCL_0000065479) (referring to BBY October letter and “the dual transaction requirement at that time”); *see also* Complainant’s Proposed Findings of Fact (“CPFF”) ¶ 48 (citing same); CPFF ¶ 47 (noting OOCL had dual transaction requirements at times during the relevant period); CPFF ¶ 374 (OOCL acknowledged factors such as terminal congestion, closed areas, and appointment limitations were beyond customers’ control and impacted their ability to pick up or return containers within free time). OOCL also acknowledged that a lack of appointments was “a very common problem across all terminals” during the relevant time period and was an issue also experienced by OOCL’s terminal in Long Beach. CPFF ¶ 46.8; APP-180. Compounding the difficulty truckers had in finding available appointments or single drop-off appointments was the antiquated patchwork of appointment systems run by the multiple terminal operators that manage different port areas. *See* Jim Stinson, *Supply chain stakeholders offer incentives to keep trucks moving through West Coast ports*, *Trucking Dive* (Dec. 3, 2021),

<https://www.truckingdive.com/news/Government-Ocean-Carriers-port-incentives/610827/>

(quoting FMC Commissioner Carl W. Bentzel that “[t]he current appointment system has not been successful in ensuring that appointments will be kept” and “[e]ach terminal operates its own system, and this balkanization impacts the effectiveness of the appointment process”). OOCL failed to refute any of BBY’s evidence establishing that closures, congestion, and a lack of appointments significantly impeded freight fluidity during the relevant time period in this case.¹²

In *Evergreen II*, the D.C. Circuit approvingly quoted the Commission’s guidance concerning how fluidity constraints, like those affecting BBY’s shipments with OOCL, affect the reasonability of per diem charges:

If demurrage cannot act as an incentive for cargo and equipment fluidity because, for instance, a marine terminal is closed for several days due to a storm, charging demurrage in such a situation, even if a container is already in demurrage, raises questions as to whether such demurrage practices are tailored to their intended purpose in accordance with section 41102(c).

Evergreen II, 174 F.4th at 181.

Evergreen II held that detention and demurrage charges imposed on days in which a port was closed were unreasonable because they did not incentivize cargo movement. Applying the same analysis, all such detention and demurrage charges assessed by OOCL to BBY, as outlined in BBY’s underlying merits briefing, would be equally unreasonable. On days when the port was closed or insufficient appointments were available, BBY could not have been incentivized by detention or demurrage charges to better promote freight fluidity because even with advanced

¹² If the Commission finds that additional detail concerning port closures, appointments, availability, and congestion is necessary to fully assess BBY’s claims concerning detention and demurrage, then BBY respectfully requests that the Commission remand for further submissions on the topic. Commission and D.C. Circuit guidance on detention and demurrage charges have evolved substantially since the opening trial briefing in this case was submitted, *see* Complainant’s Opening Brief, Dkt. 94 (Dec. 13, 2024), Complainant’s Amended Opening Brief, Dkt. 107 (Jan. 17, 2025), *TCW II*, 2025 WL 516256 (decided February 13, 2025), *Evergreen II*, 174 F.4th 169 (decided April 28, 2026), and BBY would be happy to submit more detailed information concerning the detention and demurrage charges at issue, similar to the detail provided in the much more recent *BBY v. BAL* trial briefing, to assist the Commission in assessing its claims in this case.

knowledge of such closures or unavailability, BBY was “unable to act on this knowledge to” pick up or “return the equipment earlier when the Port was open.” *TCW II*, 2025 WL 516256, at *9. Therefore, all detention and demurrage charges assessed during weekends, holidays, and other days of limited service at LA/LB were unjust and unreasonable, and the Initial Decision’s conclusion that BBY had not proven *any* appropriate reparations related to OOCL’s exorbitant detention and demurrage charges was consequently incorrect. Indeed, if the Initial Decision had applied these legal principles to, at a minimum, weekend and holiday closures, which *Evergreen II* clearly identifies as closures during which charges *cannot* incentivize freight fluidity, that application would have entailed an award of reparations on the order of \$2,483,868.79 (i.e., 30.7% of the total charges of \$8,090,777.83), not zero dollars.

2. The specific evidence submitted by BBY concerning detention and demurrage was sufficient to establish a prima facie case of unreasonableness, which should have shifted the burden of proving reasonability to OOCL.

Under the burden-shifting framework reaffirmed by *TCW II*, BBY submitted sufficient evidence of unreasonableness to shift the burden of proving reasonableness onto OOCL. *See TCW II*, 2025 WL 516256, at *7. OOCL failed to satisfy its burden to refute BBY’s showing.

BBY provided extensive record evidence that detailed how systemic port congestion issues affected its shipments, *see* ID at 154, and made it impossible to pick up or return containers due to these circumstances outside of its control. *See* CPFF ¶¶ 374 (truckers often complaining about a lack of appointments), 383 (inconsistent deliveries by OOCL led to issues at BBY’s warehouses and distribution centers), 413.1-413.9 (BBY did everything it could to avoid detention and demurrage charges, including transshipping containers, utilizing additional distribution centers to process freight, hiring additional storage providers and warehouses and pooling points, bringing in additional carrier to address backlogs, pre-pulling containers to arrange

storage, using EDRA Y to streamline processes and work with drayage providers, engaging in regular calls to coordinate solutions with its vendors and carriers), 414 and 418 (shortages of equipment, lack of labor, gluts of containers arriving at once, visits by BBY to the terminals themselves, BBY’s practices to pick up and return containers as soon as able), 416.1 (seeking to transship containers to keep freight moving but being told no by OOCL), 427–31, 437; APP-1261–62; APP-3845–3928. The difficult conditions made high detention and demurrage charges unavoidable for BBY, and under these circumstances, it was not reasonable to impose such charges. As in *TCW II*, any incentive arguably created by OOCL’s detention and demurrage charges was “outweighed by countervailing negative effects to the freight delivery system.” *TCW II*, 2025 WL 516256, at *5.

In addition to this broader evidence, BBY also provided concrete, circumstantial, and time-bound evidence that can be tied to specific sets of containers and shipments. Contrary to the Initial Decision’s finding that “BBY did not provide a shipment-by-shipment analysis of the reason containers accrued detention and demurrage charges,” ID at 154, BBY identified affected containers on a container-by-container basis in Appendix C of the McCown Report, APP-3845–3928, demonstrating which containers were affected by specific constraints on freight fluidity. The Initial Decision does not appear to have addressed this analysis, which was submitted during trial briefing. *See* ID at 154. The following excerpts illustrate how Appendix C of the McCown Report applied specific freight fluidity issues to the containers at issue:

Excerpt 1:

Evidence:

As described in BBY’s briefing, port congestion was a feature of the pandemic years of 2020 through 2022 and created problems of containers sitting in yards, being buried in stacks, and being unable to be picked up, in addition to equipment and labor shortages and other problems. *See* CPFF ¶¶ 430-31. OOCL itself acknowledged terminal congestion, closed areas, appointment limitations, vessel schedule changes, labor shortages, chassis shortages, and other pandemic-era

Evidence:

global factors that had “pushed infrastructure to its limit”. CPFF ¶ 374. BBY submitted specific evidence that this port congestion was even more extreme for shipments to Southern California around October 2021. *See* CPFF ¶ 437 (showing chart of assessed detention and demurrage charges and quoting deposition testimony that port congestion issues arose at the port of Long Beach “Around October 2021”).

Affected Containers: LA/LB containers during the September 2021–November 2021 period (i.e., “Around October”):

OOLU6210655,	OOLU6320502,	CSNU6834818,	FSCU5078356,	OOLU9434704,
SEGU6904318,	OOLU7687391,	CSNU6397030,	OOLU6772797,	FCIU9549814,
OOLU8957167,	OOLU6861528,	SEGU4740241,	CSNU6148314,	OOLU9022728,
OOCU0226914,	TEMU8020502,	OOCU7787727,	GLDU7661024,	OOLU1164201,
TGBU8555269,	OOLU7729516,	OOLU4524554,	CSNU4006687,	OOCU5028146,
OOCU4845434,	CBHU9526071,	DFSU6321700,	OOCU8054909,	OOCU6824220,
OOCU7823017,	TCNU3996019,	OOCU4991974,	OOLU7535172,	OOLU9789047,
TEMU2984604,	OOLU7490822,	SEKU4028524,	CSLU6300013,	OOLU7269339,
OOLU9843030,	OOLU9487849,	TGBU8078700,	TCNU8202195,	CCLU6948047,
OOLU4334512,	OOCU4995727,	OOLU7552483,	OOLU7918762,	CCLU4960090,
TGHU9825843,	OOLU4366910,	OOCU4887928,	FCIU9638830,	OOLU9339796,
OOCU4887928,	OOLU9163650,	OOLU8663049,	OOLU4366910,	OOLU9339796,
OOCU9043236,	OOCU6839580,	OOLU8663049,	OOLU9163650,	TGHU9825843,
FCIU9638830,	OOCU6839580,	OOCU9043236,	OOLU9278279,	OOLU4513312,
OOCU7634081,	OOCU8353710,	OOCU8998766,	OOLU9025250,	BMOU4417083,
TEMU8022125,	OOLU4356240,	OOCU9054251,	OOLU7841172,	OOLU9765180,
TEMU6386750,	CCLU5284257,	CSLU6210780,	OOCU7752490,	CCLU4631834,
OOLU7889540,	CCLU4790271,	OOCU7447218,	CSLU6169731,	CCLU5286732,
CSNU4011831,	CBHU4247876,	CSNU1713541,	CBHU6457510,	CCLU4844001,
CBHU8633497,	OOCU5008330,	OOLU7980938,	OOCU7792750,	TRHU6240230,
OOCU7312716,	FSCU5091023,	OOCU7457730,	OOLU4448161,	CCLU4989746,
CBHU6398233,	OOLU7818172,	TEMU8036155,	CCLU5272620,	TLLU4154269,
FFAU3113256,	UETU5349297,	CCLU5203445,	DFSU4194778,	OOLU8934557,
CSNU7357746,	FSCU5006680,	OOLU7880986,	OOLU9535166,	OOCU4778716,
CAIU7012010,	TGBU8872242,	OOLU9025250,	OOLU7618092,	OOLU8934557,
OOLU8508377,	TGBU8782494,	OOLU8972069,	OOLU7950492,	OOLU4295360,
OOLU7883835,	OOLU8996271,	CBHU8633497,	CCLU4661320,	OOLU7715446,
OOLU8953813,	OOLU7990089,	OOCU4788587,	OOLU7472990,	TLLU2614616,
CSNU7800387,	CSNU4099247,	CSNU7057646,	TCNU6595827,	OOLU7744721,
CSNU7900154,	OOLU7891337,	OOLU7818172,	OOCU4839302,	CBHU9047090,
OOLU4525503,	OOCU7361243,	CSNU6215407,	OOLU7652970,	OOLU8473624,
TRHU5494380,	OOLU9075219,	OOCU8407267,	FFAU2795022,	CCLU4989746,
OOLU4926240,	OOLU7990263,	OOLU7749451,	CBHU6422448,	OOCU9039750,
OOCU7278632,	DFSU4355300,	CCLU4631834,	TCKU7545997,	FFAU2795022,
BSIU8172636,	OOLU9061703,	CCLU7366441,	OOLU7759418,	OOLU4386795,
CAIU9225484,	TGBU9684337,	TCLU1770874,	OOCU7138203,	CCLU7352052,

Affected Containers: LA/LB containers during the September 2021–November 2021 period (i.e., “Around October”):

OOLU9044012,	OOCU9039750,	BMOU4540673,	CCLU4891723,	GCXU5633030,
OOLU7873760,	OOCU4784679,	TCLU4333836,	OOLU8944787,	TCNU6683872,
UETU5960536,	OOLU9379715,	OOLU7639048,	CCLU5174408,	TLLU4505487,
OOLU7789578,	CSNU4013705,	TRHU4676754,	DFSU4355300,	OOLU4378819,
DFSU6848076,	OOLU7873570,	FSCU5006680,	OOCU7361243,	OOCU4723626,
TLLU4775292,	OOLU8912521,	OOCU5012387,	OOLU8953813,	OOLU9715506,
OOLU9278279,	CSNU7837283,	FFAU3405026,	GCXU5640913,	CSNU6710530,
CBHU9560667,	OOLU8972069,	BSIU8172636,	OOLU4405956,	CBHU4247876,
OOLU1114957,	OOCU4778716,	OOCU4981560,	OOLU7618092,	TLLU4154269,
TEMU8017427,	TEMU8022125,	OOLU7658053,	OOLU7637636,	OOLU4373416,
OOLU7902149,	OOLU9100625,	OOCU7881965,	OOCU7425728,	CXDU2303964,
OOLU9052070,	TLLU2614616,	CSLU2072614,	TCKU3040564,	CCLU7616915,
OOLU9486945,	OOLU9032650,	CCLU5272620,	OOLU9278279,	CSNU4099247,
TCKU3040564,	BMOU5600669,	FFAU3243347,	OOLU7950492,	OOLU4304987,
OOLU7889540,	FFAU3243347,	OOCU4784679,	OOLU7891337,	OOLU4304987,
CSNU6262590,	DFSU7387030,	OOLU8397967,	SEGU6538688,	CCLU5178390,
FCIU9550029,	OOLU7468916,	CCLU4891723,	OOLU9032243,	FCIU9462144,
OOLU7990751,	TRHU5706215,	TRHU5348533,	OOLU7873760,	CCLU4661320,
CBHU7085399,	CBHU6422448,	BMOU5850776,	OOLU4525503,	CCLU4904461,
OOLU4386795,	OOLU4405956,	CBHU9560667,	OOLU7715446,	OOLU8508377,
OOLU7468916,	SEKU4657039,	TRHU5348533,	CAIU9172131,	FSCU5038800,
OOCU5000750,	OOLU8912521,	TGBU9987863,	CCLU4846869,	OOLU4378948,
RFCU4118039,	CSLU6169731,	DFSU4202364,	OOCU4737867,	RFCU4118039,
TGBU9684337,	CCLU6857327,	TEMU8029080,	CBHU9467852,	FFAU3363208,
OOLU4448161,	OOLU7518391,	OOLU7649220,	OOLU9756547,	OOCU8484710,
OOLU8527546,	OOLU4424030,	OOLU4513312,	CSLU6072865,	CAIU8798542,
OOCU7278632,	CCLU5203445,	TLLU4505487,	OOLU9077530,	OOLU8426068,
BSIU9438150,	CCLU5174408,	SEGU4744442,	OOCU7814910,	OOLU9389056,
TGBU8781116,	FSCU5021350,	OOLU7762366,	TEMU8035858,	TCLU8862669,
TCLU1770874,	OOCU4981560,	TCLU5266521,	TGBU8749984,	OOLU7879624,
OOLU4507747,	OOLU4378819,	OOLU7990751,	OOLU7879624,	OOLU9055444,
OOCU7950623,	GESU6887582,	CCLU7352052,	OOLU7989637,	OOCU7752490,
FFAU3125920,	TCNU6595827,	OOLU8911973,	DFSU3514373,	OOLU9044012,
BMOU4540673,	TCNU3838013,	RFCU4012622,	OOCU4788587,	OOCU7309815,
BEAU5780078,	CBHU6398233,	OOCU8031971,	CSNU6580689,	OOCU7881965,
CBHU6457510,	OOLU7785356,	OOCU6804558,	OOLU8859031,	TRHU5251121,
OOLU9379715,	OOLU7759418,	CCLU5270612,	TCLU4333836,	OOLU7989637,
OOCU8106480,	OOLU8925468,	CXDU1104696,	CBHU7085399,	SEKU4657039,
OOCU7366137,	FCIU9535322,	CSNU1713541,	CBHU8590878,	FCIU9550029,
BEAU5771570,	OOLU7649220,	OOCU7138203,	OOLU9535166,	FCIU9535322,
OOCU4834511,	OOCU4834511,	OOLU8768245,	TGBU8872242,	OOLU9711183,
CSLU2072614,	TEMU8036155,	OOLU9077530,	CSNU6819789,	OOCU8106480,
OOCU6512284,	OOCU7457730,	OOLU1114957,	OOCU7055496,	OOLU9039886,

Affected Containers: LA/LB containers during the September 2021–November 2021 period (i.e., “Around October”):

TRHU6393408,	CBHU8744510,	OOCU5012387,	BMOU5600669,	DFSU4189302,
CXDU2303964,	OOLU9032243,	CCLU4846869,	BMOU4417083,	CBHU6449032,
OOLU9061350,	TCLU5266521,	CCLU4904461,	OOLU9786665,	TRHU5251121,
OOCU4850507,	OOLU7536306,	TCNU3838013,	OOLU7823667,	FFAU2453457,
OOLU8996271,	RFCU4012622,	CCLU5286732,	OOLU8925468,	OOCU7615950,
DFSU4189302,	OOLU7823667,	OOCU6830449,	OOCU7751684,	OOCU7814910,
OOLU9061350,	OOLU7536306,	OOLU7880986,	OOCU5008330,	OOCU4982946,
OOCU4880841,	CSNU4098913,	CXDU1104696,	CSNU7900154,	CSNU6819789,
CBHU8744510,	OOCU7751684,	OOLU7550177,	OOCU4723626,	OOLU9052070,
SEGU4744442,	OOLU7472990,	OOCU8407267,	OOLU7902149,	OOCU8244956,
FSCU9348969,	UETU5352583,	FSCU5038800,	OOCU7615950,	CCLU5270612,
OOLU4424030,	OOCU5000750,	CSNU6580689,	OOCU7309815,	TGBU8683980,
TGBU9987863,	BMOU5850776,	CSNU4098913,	BEAU5780078,	CAIU8814432,
FFAU2453457,	CCLU4844001,	TGBU8782494,	CAIU7012010,	CCLU5093121,
CSNU7785127,	OOCU6512284,	OOCU7901613,	TGBU8781116,	CSNU6215407,
CSNU6262590,	CSNU7785127,	OOLU7744721,	CSNU4011831,	TEMU8017427,
OOLU9055444,	OOCU7055496,	OOLU7749451,	DFSU3514373,	OOCU4737867,
DFSU6268777,	OOCU4850507,	CAIU8814432,	GCXU5633030,	OOCU7901613,
OOLU4378948,	SEGU4869100,	CSNU6537070,	TLLU4775292,	TCLU8862669,
TGBU8683980,	OOCU7366137,	OOLU8911973,	CCLU6857327,	TRHU5706215,
OOCU6830449,	DFSU6268777,	OOCU4839302,	OOLU7990263,	OOLU9039886,
DFSU4194778,	CCLU4790271,	CBHU6449032,	OOLU8768245,	OOLU7550177,
CSNU7357746,	OOLU9100625,	OOLU9786665,	DFSU4202364,	OOLU9050041,
OOLU9071105,	TGBU7969222,	OOLU6861549,	CSNU6836940,	OOLU7609188,
OOLU8426068,	OOLU4513312,	CSNU7837283,	OOCU0222518,	BEAU6237379,
OOCU7634081,	OOLU9052450,	CCLU9935444,	OOCU7135626,	CBHU7078281,
UETU5198755,	CSNU7442262,	OOCU4981050,	TCLU7946256,	OOLU9044630,
BSIU9438150,	BEAU6237379,	OOCU022251,	OOCU7725730,	CBHU9157559,
OOLU7784914,	OOLU7726543,	OOCU7898572,	OOLU1749768,	FSCU5010715,
CBHU6347133,	TEMU6012560,	TCKU4110455,	OOLU7488131,	CCLU7869169,
OOLU7553730,	CCLU5209485,	DRYU9722877,	CCLU5281962,	OOLU9219126,
OOLU6498881,	OOCU8394540,	OOLU5390341,	OOLU5390399,	OOLU5390589,
OOLU5390300,	OOLU539030,	OOLU8220992,	OOLU4316972,	OOLU7791683,
OOCU8506850,	TCNU6430920,	OOLU6847263,	TGBU7901557,	TEMU2893335,
CBHU5719405,	CCLU6967730,	CCLU5208160,	OOCU8943589,	OOLU4414351,
FSCU5025206,	CCLU7609639,	CCLU5178614,	TRHU6578572,	CSNU6505026,
RFCU4020952,	TCNU2380456,	TEMU7924953,	TRHU6746721,	OOLU8421169,
OOLU9418220,	FSCU8356023,	OOLU4319138,	OOLU8734760,	OOLU7850385,
OOCU8443623,	OOLU9247540,	OOLU9142718,	FFAU3303343,	OOLU4418151,
SEGU6329374,	CCLU7791029,	OOLU4383292,	OOLU8568740,	CCLU5214748,
OOCU4878464,	OOLU9662772,	OOLU9700023,	TRHU7374470,	CBHU8836410,
OOLU4410016,	OOLU7932190,	TLLU3284463,	CCLU5145040,	CCLU5264203,
TTNU5048751,	UETU2192310,	OOLU7955299,	OOLU7270540,	OOLU7973570,

Affected Containers: LA/LB containers during the September 2021–November 2021 period (i.e., “Around October”):

CSLU2362911,	OOLU0650810,	OOLU7970884,	OOLU7853722,	OOLU6875075,
FSCU8821300,	OOLU8633276,	CCLU4564778,	FFAU2712326,	OOLU4352178,
BSIU9464910,	OOLU9146360,	OOLU7865810,	OOLU1238686,	CCLU4841743,
OOCU7500668,	OOLU7988029,	OOLU9051290,	FSCU5032503,	CCLU7791332,
OOLU4363017,	OOLU4418969,	OOCU6404356,	TGHU9303371,	OOLU0506700,
OOCU0221105,	OOCU7231580,	OOLU9050648,	TEMU8025973,	OOLU9081530,
OOLU8455370,	OOLU7553089,	OOLU4375337,	SEGU4283968,	OOLU7904856,
OOLU8867382,	OOLU4323919,	FCIU6120410,	CXDU2234020,	CSNU6967723,
TRHU7451052,	OOLU4304586,	OOLU9032304,	UETU5380332,	CSNU6083933,
OOLU4394255,	TGBU7925538,	OOLU7930351,	TGHU6187513,	TEMU8025973,
FSCU9359808,	WBPU7031142,	CBHU8649153,	OOLU4354838,	SEGU4431134,
CSNU4047686,	CBHU6470282,	OOLU7661530,	OOCU7318273,	FSCU8706630,
CBHU8661462,	OOCU4720817,	OOLU7492492,	CBHU3986697,	TGBU4698127,
OOLU7780035,	FFAU3285893,			

The total amount of detention and demurrage charges for these containers was \$2,337,773.48. See McCown Report, Appendix C, APP-3845–3928.

Excerpt 2:

Evidence:

Around December 2021, BBBY’s senior logistics employee, Reid Klosowsky visited OOCL’s terminal at LA/LB and personally witnessed four factors out of BBBY’s control that created conditions that made the assessment of detention and demurrage charges unreasonable: (1) a container glut and uneven flow overwhelmed the port resulting in little freight actually coming off the ports; (2) dray carrier and chassis were not available; (3) ships were anchored at the time creating delays; and (4) large importers that previously would rail containers decided to try to pick them up locally, putting additional strain on the port and increasing demand for chassis and truckers. See CPFF ¶¶ 428-29, 437; APP-1261-62 (Reid Klosowsky deposition testimony) (“So this is towards the end of December, early January of 2022. So about a month prior, maybe two months prior, November, I had visited the OOCL terminal that -- in Long Beach that the product was moving through and I met with the terminal operator there and I think there were some OOCL employees on that trip as well, but what we noticed and this is where we got the idea of trying to take these containers that were on port for which we were having difficulty moving because *there weren’t chassis available*, and *the way it normally happens, I mean, we have a predictable flow, these containers were landing in big batches because they were being delayed at origin*, and so big groups of containers were getting onto one ship and *they weren’t coming in on a nice even pattern*, and then . . . the *ships being anchored* at that time, *freight would arrive in big chunks* and then there *weren’t, you know, dray carriers or chassis available* . . . when I was at the port of Long Beach terminals, I visited a number . . . I saw that *there wasn’t a lot of freight coming off the ports universally, not just for Bed Bath, but for everyone*, there were a lot of *containers stacking up at the port*, and one thing that I noticed or

Evidence:

that we discussed in that meeting was that a lot of the containers that normally would ship with an intermodal rail service in land had stopped and there were a *few very large shippers who . . . instead of railing the product inland . . . decided to take those containers locally*. So we saw trains positioned at the ports that were empty”)

Affected Containers: LA/LB containers during the period between November 2021 and January 2022:

OOLU4319138,	OOLU8734760,	OOLU7850385,	OOCU8443623,	OOLU9247540,
OOLU9142718,	FFAU3303343,	OOLU4418151,	SEGU6329374,	CCLU7791029,
OOLU4383292,	OOLU8568740,	CCLU5214748,	OOCU4878464,	OOLU9662772,
OOLU9700023,	TRHU7374470,	CBHU8836410,	OOLU4410016,	OOLU7932190,
TLLU3284463,	CCLU5145040,	CCLU5264203,	TTNU5048751,	UETU2192310,
OOLU7955299,	OOLU7270540,	OOLU7973570,	CSLU2362911,	OOLU0650810,
OOLU7970884,	OOLU7853722,	OOLU6875075,	FSCU8821300,	OOLU8633276,
CCLU4564778,	FFAU2712326,	OOLU4352178,	BSIU9464910,	OOLU9146360,
OOLU7865810,	OOLU1238686,	CCLU4841743,	OOCU7500668,	OOLU7988029,
OOLU9051290,	FSCU5032503,	CCLU7791332,	OOLU4363017,	OOLU4418969,
OOCU6404356,	TGHU9303371,	OOLU0506700,	OOCU0221105,	OOCU7231580,
OOLU9050648,	TEMU8025973,	OOLU9081530,	OOLU8455370,	OOLU7553089,
OOLU4375337,	SEGU4283968,	OOLU7904856,	OOLU8867382,	OOLU4323919,
FCIU6120410,	CXDU2234020,	CSNU6967723,	TRHU7451052,	OOLU4304586,
OOLU9032304,	UETU5380332,	CSNU6083933,	OOLU4394255,	TGBU7925538,
OOLU7930351,	TGHU6187513,	TEMU8025973,	FSCU9359808,	WBPU7031142,
CBHU8649153,	OOLU4354838,	SEGU4431134,	CSNU4047686,	CBHU6470282,
OOLU7661530,	OOCU7318273,	FSCU8706630,	CBHU8661462,	OOCU4720817,
OOLU7492492,	CBHU3986697,	TGBU4698127,	OOLU7780035,	FFAU3285893,
OOCU7085187,	FCIU9828001,	OOCU8040675,	OOLU7909539,	GVCU4131496,
DFSU4345961,	OOCU9087445,	OOCU7991999,	CCLU4960871,	CCLU4874650,
GCXU5290163,	OOCU7445112,	OOCU5018024,	CCLU5225260,	OOLU7558882,
OOCU4815640,	OOLU1070925,	TRHU4092236,	OOLU7637240,	OOLU4530243,
FFAU3546810,	OOCU8448353,	OOLU9316018,	OOLU9625906,	OOCU6738203,
OOLU7783672,	OOLU4446472,	CCLU4740650,	OOLU4502046,	OOLU4430100,
OOCU7356680,	OOCU6945221,	RFCU4104992,	OOCU4742293,	CSLU5168941,
OOCU5013486,	OOLU7503431,	OOLU9082877,	OOLU9038386,	OOCU4901712,
OOCU5006379,	CXDU2032728,	OOCU0225477,	OOLU9026575,	OOLU7834893,
CCLU7417683,	SEGU6841272,	TGBU4800305,	OOCU8955954,	CSNU6943070,
DFSU4351007,	OOLU7628357,	OOCU8269044,	OOLU7768301,	OOCU4851680,
OOLU7859905,	OOLU4504882,	OOLU7706980,	OOCU7811741,	OOLU9248720,
OOLU8632095,	TCKU6203979,	OOLU7786440,	GVCU9014189,	OOLU0767160,
TGHU8913261,	OOLU4526979,	OOLU9164532,	CXDU1722776,	GVCU9014189,
OOLU7932760,	TRHU4454715,	OOCU4878377,	OOCU6985250,	UETU5690981,
CCLU7807315,	OOLU6270633,	TRHU6571285,	OOLU9036212,	CXDU2031552,
OOLU9025959,	OOCU4992604,	CCLU4722338,	OOLU9075245,	CBHU6407320,
DRYU4546672,	OOLU6194894,	DRYU454667,	UETU5420311,	OOLU8570727,

Affected Containers: LA/LB containers during the period between November 2021 and January 2022:

OOLU7798841, OOLU8297016, CCLU4976179, OTPU6185690, OOLU7818594,
TLLU8369429, OOLU9106963, OOLU7552631, OOLU7709567, OOLU7513701,
OOLU4502365, OOLU7644260, CCLU6794701, OOCU8066556, OOCU7102387,
OOLU9879650, OOLU7850282, FSCU5308649, FSCU5983694, DRYU2785256,
OOLU7783590, DFSU7629302, OOCU7619976, CBHU5515000, OOCU7692004,
CSNU8351465, OOLU8402575, FSCU5050981, OOLU7559195, FFAU2616894,
CCLU7261482, CSNU8346392, DFSU7077498, OOCU7456550, FCIU9413160,
CBHU9138707, BMOU4397644, OOLU8398460, MAGU5204130, CCLU7029409,
OOLU8576793, TGBU4701494, CCLU7735318, CSNU6503208, FFAU3153686,
CSNU6959055, OOLU6779430, OOCU6800383, PRSU1573290, FFAU3306039,
TEMU3784766, OOLU9977194, CBHU7093368, OOLU4428355, DFSU7278682.

The total amount of detention and demurrage charges for these containers was \$1,349,615.22. See McCown Report, Appendix C [APP-3845-3928].

Excerpt 3:

Evidence:

Long-dwelling containers were the result of bottlenecks and inconsistent flow, which was a specific problem and condition at the port of LA/LB in late 2021, particularly October/November 2021. See CPFF ¶ 427 (citing the McCown Report [APP-3789; APP-3790-3791], Dep. Ex. 166 [APP-3293-3306], and Porter [APP-2151] and D’Alfonso deposition transcripts [APP-323]).

Affected Containers: LA/LB containers during the period between October 2021 and November 2021:

OOLU7490822, SEKU4028524, CSLU6300013, OOLU7269339, OOLU9843030,
OOLU9487849, TGBU8078700, TCNU8202195, CCLU6948047, OOLU4334512,
OOCU4995727, OOLU7552483, OOLU7918762, CCLU4960090, TGHU9825843,
OOLU4366910, OOCU4887928, FCIU9638830, OOLU9339796, OOCU4887928,
OOLU9163650, OOLU8663049, OOLU4366910, OOLU9339796, OOCU9043236,
OOCU6839580, OOLU8663049, OOLU9163650, TGHU9825843, FCIU9638830,
OOCU6839580, OOCU9043236, OOLU9278279, OOLU4513312, OOCU7634081,
OOCU8353710, OOCU8998766, OOLU9025250, BMOU4417083, TEMU8022125,
OOLU4356240, OOCU9054251, OOLU7841172, OOLU9765180, TEMU6386750,
CCLU5284257, CSLU6210780, OOCU7752490, CCLU4631834, OOLU7889540,
CCLU4790271, OOCU7447218, CSLU6169731, CCLU5286732, CSNU4011831,
CBHU4247876, CSNU1713541, CBHU6457510, CCLU4844001, CBHU8633497,
OOCU5008330, OOLU7980938, OOCU7792750, TRHU6240230, OOCU7312716,
FSCU5091023, OOCU7457730, OOLU4448161, CCLU4989746, CBHU6398233,
OOLU7818172, TEMU8036155, CCLU5272620, TLLU4154269, FFAU3113256,

Affected Containers: LA/LB containers during the period between October 2021 and November 2021:

UETU5349297,	CCLU5203445,	DFSU4194778,	OOLU8934557,	CSNU7357746,
FSCU5006680,	OOLU7880986,	OOLU9535166,	OOCU4778716,	CAIU7012010,
TGBU8872242,	OOLU9025250,	OOLU7618092,	OOLU8934557,	OOLU8508377,
TGBU8782494,	OOLU8972069,	OOLU7950492,	OOLU4295360,	OOLU7883835,
OOLU8996271,	CBHU8633497,	CCLU4661320,	OOLU7715446,	OOLU8953813,
OOLU7990089,	OOCU4788587,	OOLU7472990,	TLLU2614616,	CSNU7800387,
CSNU4099247,	CSNU7057646,	TCNU6595827,	OOLU7744721,	CSNU7900154,
OOLU7891337,	OOLU7818172,	OOCU4839302,	CBHU9047090,	OOLU4525503,
OOCU7361243,	CSNU6215407,	OOLU7652970,	OOLU8473624,	TRHU5494380,
OOLU9075219,	OOCU8407267,	FFAU2795022,	CCLU4989746,	OOLU4926240,
OOLU7990263,	OOLU7749451,	CBHU6422448,	OOCU9039750,	OOCU7278632,
DFSU4355300,	CCLU4631834,	TCKU7545997,	FFAU2795022,	BSIU8172636,
OOLU9061703,	CCLU7366441,	OOLU7759418,	OOLU4386795,	CAIU9225484,
TGBU9684337,	TCLU1770874,	OOCU7138203,	CCLU7352052,	OOLU9044012,
OOCU9039750,	BMOU4540673,	CCLU4891723,	GCXU5633030,	OOLU7873760,
OOCU4784679,	TCLU4333836,	OOLU8944787,	TCNU6683872,	UETU5960536,
OOLU9379715,	OOLU7639048,	CCLU5174408,	TLLU4505487,	OOLU7789578,
CSNU4013705,	TRHU4676754,	DFSU4355300,	OOLU4378819,	DFSU6848076,
OOLU7873570,	FSCU5006680,	OOCU7361243,	OOCU4723626,	TLLU4775292,
OOLU8912521,	OOCU5012387,	OOLU8953813,	OOLU9715506,	OOLU9278279,
CSNU7837283,	FFAU3405026,	GCXU5640913,	CSNU6710530,	CBHU9560667,
OOLU8972069,	BSIU8172636,	OOLU4405956,	CBHU4247876,	OOLU1114957,
OOCU4778716,	OOCU4981560,	OOLU7618092,	TLLU4154269,	TEMU8017427,
TEMU8022125,	OOLU7658053,	OOLU7637636,	OOLU4373416,	OOLU7902149,
OOLU9100625,	OOCU7881965,	OOCU7425728,	CXDU2303964,	OOLU9052070,
TLLU2614616,	CSLU2072614,	TCKU3040564,	CCLU7616915,	OOLU9486945,
OOLU9032650,	CCLU5272620,	OOLU9278279,	CSNU4099247,	TCKU3040564,
BMOU5600669,	FFAU3243347,	OOLU7950492,	OOLU4304987,	OOLU7889540,
FFAU3243347,	OOCU4784679,	OOLU7891337,	OOLU4304987,	CSNU6262590,
DFSU7387030,	OOLU8397967,	SEGU6538688,	CCLU5178390,	FCIU9550029,
OOLU7468916,	CCLU4891723,	OOLU9032243,	FCIU9462144,	OOLU7990751,
TRHU5706215,	TRHU5348533,	OOLU7873760,	CCLU4661320,	CBHU7085399,
CBHU6422448,	BMOU5850776,	OOLU4525503,	CCLU4904461,	OOLU4386795,
OOLU4405956,	CBHU9560667,	OOLU7715446,	OOLU8508377,	OOLU7468916,
SEKU4657039,	TRHU5348533,	CAIU9172131,	FSCU5038800,	OOCU5000750,
OOLU8912521,	TGBU9987863,	CCLU4846869,	OOLU4378948,	RFCU4118039,
CSLU6169731,	DFSU4202364,	OOCU4737867,	RFCU4118039,	TGBU9684337,
CCLU6857327,	TEMU8029080,	CBHU9467852,	FFAU3363208,	OOLU4448161,
OOLU7518391,	OOLU7649220,	OOLU9756547,	OOCU8484710,	OOLU8527546,
OOLU4424030,	OOLU4513312,	CSLU6072865,	CAIU8798542,	OOCU7278632,
CCLU5203445,	TLLU4505487,	OOLU9077530,	OOLU8426068,	BSIU9438150,
CCLU5174408,	SEGU4744442,	OOCU7814910,	OOLU9389056,	TGBU8781116,
FSCU5021350,	OOLU7762366,	TEMU8035858,	TCLU8862669,	TCLU1770874,

Affected Containers: LA/LB containers during the period between October 2021 and November 2021:

OOCU4981560,	TCLU5266521,	TGBU8749984,	OOLU7879624,	OOLU4507747,
OOLU4378819,	OOLU7990751,	OOLU7879624,	OOLU9055444,	OOCU7950623,
GESU6887582,	CCLU7352052,	OOLU7989637,	OOCU7752490,	FFAU3125920,
TCNU6595827,	OOLU8911973,	DFSU3514373,	OOLU9044012,	BMOU4540673,
TCNU3838013,	RFCU4012622,	OOCU4788587,	OOCU7309815,	BEAU5780078,
CBHU6398233,	OOCU8031971,	CSNU6580689,	OOCU7881965,	CBHU6457510,
OOLU7785356,	OOCU6804558,	OOLU8859031,	TRHU5251121,	OOLU9379715,
OOLU7759418,	CCLU5270612,	TCLU4333836,	OOLU7989637,	OOCU8106480,
OOLU8925468,	CXDU1104696,	CBHU7085399,	SEKU4657039,	OOCU7366137,
FCIU9535322,	CSNU1713541,	CBHU8590878,	FCIU9550029,	BEAU5771570,
OOLU7649220,	OOCU7138203,	OOLU9535166,	FCIU9535322,	OOCU4834511,
OOCU4834511,	OOLU8768245,	TGBU8872242,	OOLU9711183,	CSLU2072614,
TEMU8036155,	OOLU9077530,	CSNU6819789,	OOCU8106480,	OOCU6512284,
OOCU7457730,	OOLU1114957,	OOCU7055496,	OOLU9039886,	TRHU6393408,
CBHU8744510,	OOCU5012387,	BMOU5600669,	DFSU4189302,	CXDU2303964,
OOLU9032243,	CCLU4846869,	BMOU4417083,	CBHU6449032,	OOLU9061350,
TCLU5266521,	CCLU4904461,	OOLU9786665,	TRHU5251121,	OOCU4850507,
OOLU7536306,	TCNU3838013,	OOLU7823667,	FFAU2453457,	OOLU8996271,
RFCU4012622,	CCLU5286732,	OOLU8925468,	OOCU7615950,	DFSU4189302,
OOLU7823667,	OOCU6830449,	OOCU7751684,	OOCU7814910,	OOLU9061350,
OOLU7536306,	OOLU7880986,	OOCU5008330,	OOCU4982946,	OOCU4880841,
CSNU4098913,	CXDU1104696,	CSNU7900154,	CSNU6819789,	CBHU8744510,
OOCU7751684,	OOLU7550177,	OOCU4723626,	OOLU9052070,	SEGU4744442,
OOLU7472990,	OOCU8407267,	OOLU7902149,	OOCU8244956,	FSCU9348969,
UETU5352583,	FSCU5038800,	OOCU7615950,	CCLU5270612,	OOLU4424030,
OOCU5000750,	CSNU6580689,	OOCU7309815,	TGBU8683980,	TGBU9987863,
BMOU5850776,	CSNU4098913,	BEAU5780078,	CAIU8814432,	FFAU2453457,
CCLU4844001,	TGBU8782494,	CAIU7012010,	CCLU5093121,	CSNU7785127,
OOCU6512284,	OOCU7901613,	TGBU8781116,	CSNU6215407,	CSNU6262590,
CSNU7785127,	OOLU7744721,	CSNU4011831,	TEMU8017427,	OOLU9055444,
OOCU7055496,	OOLU7749451,	DFSU3514373,	OOCU4737867,	DFSU6268777,
OOCU4850507,	CAIU8814432,	GCXU5633030,	OOCU7901613,	OOLU4378948,
SEGU4869100,	CSNU6537070,	TLLU4775292,	TCLU8862669,	TGBU8683980,
OOCU7366137,	OOLU8911973,	CCLU6857327,	TRHU5706215,	OOCU6830449,
DFSU6268777,	OOCU4839302,	OOLU7990263,	OOLU9039886,	DFSU4194778,
CCLU4790271,	CBHU6449032,	OOLU8768245,	OOLU7550177,	CSNU7357746,
OOLU9100625,	OOLU9786665,	DFSU4202364,	OOLU9050041,	OOLU9071105,
TGBU7969222,	OOLU6861549,	CSNU6836940,	OOLU7609188,	OOLU8426068,
OOLU4513312,	CSNU7837283,	OOCU0222518,	BEAU6237379,	OOCU7634081,
OOLU9052450,	CCLU9935444,	OOCU7135626,	CBHU7078281,	UETU5198755,
CSNU7442262,	OOCU4981050,	TCLU7946256,	OOLU9044630,	BSIU9438150,
BEAU6237379,	OOCU022251,	OOCU7725730,	CBHU9157559,	OOLU7784914,
OOLU7726543,	OOCU7898572,	OOLU1749768,	FSCU5010715,	CBHU6347133,

Affected Containers: LA/LB containers during the period between October 2021 and November 2021:

TEMU6012560,	TCKU4110455,	OOLU7488131,	CCLU7869169,	OOLU7553730,
CCLU5209485,	DRYU9722877,	CCLU5281962,	OOLU9219126,	OOLU6498881,
OOCU8394540,	OOLU5390341,	OOLU5390399,	OOLU5390589,	OOLU5390300,
OOLU539030,	OOLU8220992,	OOLU4316972,	OOLU7791683,	OOCU8506850,
TCNU6430920,	OOLU6847263,	TGBU7901557,	TEMU2893335,	CBHU5719405,
CCLU6967730,	CCLU5208160,	OOCU8943589,	OOLU4414351,	FSCU5025206,
CCLU7609639,	CCLU5178614,	TRHU6578572,	CSNU6505026,	RFCU4020952,
TCNU2380456,	TEMU7924953,	TRHU6746721,	OOLU8421169,	OOLU9418220,
FSCU8356023,	OOLU4319138,	OOLU8734760,	OOLU7850385,	OOCU8443623,
OOLU9247540,	OOLU9142718,	FFAU3303343,	OOLU4418151,	SEGU6329374,
CCLU7791029,	OOLU4383292,	OOLU8568740,	CCLU5214748,	OOCU4878464,
OOLU9662772,	OOLU9700023,	TRHU7374470,	CBHU8836410,	OOLU4410016,
OOLU7932190,	TLLU3284463,	CCLU5145040,	CCLU5264203,	TTNU5048751,
UETU2192310,	OOLU7955299,	OOLU7270540,	OOLU7973570,	CSLU2362911,
OOLU0650810,	OOLU7970884,	OOLU7853722,	OOLU6875075,	FSCU8821300,
OOLU8633276,	CCLU4564778,	FFAU2712326,	OOLU4352178,	BSIU9464910,
OOLU9146360,	OOLU7865810,	OOLU1238686,	CCLU4841743,	OOCU7500668,
OOLU7988029,	OOLU9051290,	FSCU5032503,	CCLU7791332,	OOLU4363017,
OOLU4418969,	OOCU6404356,	TGHU9303371,	OOLU0506700,	OOCU0221105,
OOCU7231580,	OOLU9050648,	TEMU8025973,	OOLU9081530,	OOLU8455370,
OOLU7553089,	OOLU4375337,	SEGU4283968,	OOLU7904856,	OOLU8867382,
OOLU4323919,	FCIU6120410,	CXDU2234020,	CSNU6967723,	TRHU7451052,
OOLU4304586,	OOLU9032304,	UETU5380332,	CSNU6083933,	OOLU4394255,
TGBU7925538,	OOLU7930351,	TGHU6187513,	TEMU8025973,	FSCU9359808,
WBPU7031142,	CBHU8649153,	OOLU4354838,	SEGU4431134,	CSNU4047686,
CBHU6470282,	OOLU7661530,	OOCU7318273,	FSCU8706630,	CBHU8661462,
OOCU4720817,	OOLU7492492,	CBHU3986697,	TGBU4698127,	OOLU7780035,
FFAU3285893,				

The total amount of detention and demurrage charges for these containers was \$2,232,976.
See McCown Report, Appendix C [APP-3845-3928].

Because BBY offered extensive proof of the effects of the COVID-19 supply chain crisis on its freight overall, and in light of the substantial evidence BBY submitted identifying conditions affecting hundreds of the individual containers at issue, BBY respectfully submits that its showing should have been sufficient, under *TCW II*, to establish that OOCL’s charges were unreasonable *as a whole*, and shift the burden to OOCL to establish that individual charges *were* reasonable under the totality of the circumstances. *See TCW II*, 2025 WL 516256, at *7 (“Where

a party having the burden of proceeding has come forward with a prima facie and substantial case, he will prevail unless his evidence is discredited or rebutted”) (brackets and citation omitted). Because OOCL utterly failed to make such a showing, BBY submits that the Commission should grant BBY reparations for the entire challenged corpus of crisis-era detention and demurrage claims, in the amount of \$8,090,777.83.¹³

If the Commission determines that additional chronological or container-by-container data would be helpful in assessing the permissibility of OOCL’s detention and demurrage charges at issue here, then BBY respectfully requests the Commission remand for additional submissions (or, if necessary, discovery) on the issue. *See* 46 C.F.R. §§ 502.251-502.252; *MCS Indus.*, 2024 WL 5714531, at *1, *15–16; *see also Color Brands, LLC*, 2024 WL 246193, at *2. A remand proceeding would not require extensive discovery. BBY could, on remand, undertake limited additional fact finding and focus on compiling and representing its evidence on an even more granular, container-by-container basis, in alignment with the recent *TCW II* and *Evergreen II* decisions. In a case much more recently briefed, *BBY v. BAL* (FMC Dkt. No. 25-01), BBY submitted a lengthy chart detailing the specific circumstances, evidence, and evidentiary sources tied to each relevant container. BBY’s submission in *BBY v. BAL* reflects BBY’s efforts to comply with the evolving standard of proof reflected in *TCW II* and *Evergreen II*. On remand here, BBY could submit a similar chart identifying the specific circumstances, evidence, and evidentiary sources regarding closures, congestion, and other freight fluidity issues relating to each

¹³ *See* ID ¶¶ 230-31 (identifying BBY’s total detention charges and total demurrage charges). The Excerpts discussed above, standing alone, would support a reparations award of \$3,171,148.70 for the detention and demurrage charges for LA/LB containers during the period of September 2021 through January 2022; i.e., the September–November 2021 LA/LB total of \$2,337,773.48 identified in Excerpt 1 (many of which are also supported by Excerpt 3) plus \$833,375.22 for the LA/LB charges in December 2021 and January 2022, additional months included in Excerpt 2.

specific container. The interests of justice counsel in favor of such a limited remand proceeding rather than denying BBY's claim outright.

3. OOCL's high detention and demurrage rates were not justified by OOCL's opportunity or carrying costs.

BBY challenged OOCL's detention and demurrage charges on two bases: *first*, as discussed above, that the charges were unreasonable because they did not promote freight fluidity under the prevailing conditions, and *second*, that the daily *rates* charged by OOCL were unreasonably high and not justified by any evidence of actual opportunity or carrying costs. With respect to the second issue—the exorbitant daily rates charged by OOCL for detention and demurrage—BBY presented evidence that OOCL's rates were unreasonably high and not justified by OOCL's costs, and OOCL failed to provide *any evidence* refuting BBY's evidence to justify its rates. Moreover, OOCL's rates were unreasonable because OOCL imposed them unequally, and they disproportionately burdened BBY as compared to other shippers. Accordingly, on the basis of BBY's *unrefuted* evidence, BBY requests that the Commission award BBY reparations for OOCL's excessive and unjustified rates or, in the alternative, remand for further proceedings on the issue of OOCL's actual opportunity and carrying costs.

i. BBY's arguments concerning OOCL's rates satisfied the applicable legal standard.

The *Volkswagenwerk Aktiengesellschaft v. Federal Maritime Commission* line of cases provides a framework for the Commission to assess the reasonableness of rates by examining whether the correlation of a benefit received by a customer to the charge is reasonable. *See* 390 U.S. 261, 282 (1968); ID at 150 (citing *Kawasaki Kisen Kaisha, Ltd. v. Port Auth. N.Y. N.J.*, FMC Dkt. No. 11-12, 2014 WL 7328475, at *9 (FMC Nov. 20, 2014)). Whether the “charge levied is reasonably related to the service rendered”, under *Volkswagenwerk*, entails a comparative cost/benefit analysis. *Kawasaki Kisen Kaisha, Ltd.*, 2014 WL 7328475, at *11 (citing *New Orleans*

Steamship Ass'n v. Plaquemines Port, Harbor & Terminal Dist., FMC Dkt. No. 83-2, 1986 WL 170020, at *8 n.40 (FMC Sept. 16, 1986)). Under *Volkswagenwerk*, the Court also emphasized the factor of uniformity: “It may be that a relatively small charge imposed uniformly for the benefit of an entire group can be reasonable But here a relatively large charge was unequally imposed.” 390 U.S. at 281. Thus, even when the “benefits received by the [shipper] may have been substantial”, it is problematic if “other cargo receive[s] greater benefits at one-tenth the cost.” *Id.*

This legal standard is consistent with BBBY’s arguments that OOCL’s charges were unreasonably high because they were designed to generate profits and not reasonably related to either OOCL’s opportunity costs or OOCL’s carrying costs associated with the equipment subject to the charges—here, the costs of having a fungible shipping container out of service in excess of free time because it was either stuck at the terminal or had yet to be returned after discharge. Especially in the context of historical peaks in OOCL’s capacity utilization, when OOCL was able to run its vessels full despite landside fluidity constraints, the charges grossly over-compensated OOCL for its (non-existent) opportunity costs and its carrying costs, creating a mismatch between the benefit received by the shipper and the rate level.

The Initial Decision concluded that BBBY received a benefit of retaining OOCL’s containers and chassis beyond free time, but failed to present a comparative cost/benefit analysis to determine whether the rates charged by OOCL were reasonably related to that benefit. *See ID* at 151. In reaching this conclusion, the Initial Decision apparently overlooked the fact that BBBY *did* compare cost to benefit, an analysis that was included in its analysis discussing how OOCL’s non-existent opportunity costs and low carrying cost and actual costs did not correspond to the high rates OOCL charged. *See Brief* at 58-59 (describing rates as “excessive” and “multiples more”

than OOCL's carrying costs and unreasonably used to drive profit rather than promote freight fluidity).

ii. OOCL's detention and demurrage charges served only to maximize OOCL profits, as there were no opportunity costs associated with dwelling containers collecting detention or demurrage.

BBBY presented evidence that OOCL's detention and demurrage charges were not justified by OOCL's opportunity costs and thus only served to maximize OOCL's profits. In short, because OOCL was able to run its ships at full capacity during the relevant time period in this case, OOCL had no significant opportunity costs associated with individual, fungible shipping containers being out of service for any period of time. *See* APP-3782, APP-3788--89 (McCown Report ¶¶ 132, 158--162) ("The opportunity cost argument for enhanced per diem charges therefore does not apply to conditions during the COVID-19 pandemic, when OOCL has admitted it was able to run its ships at full capacity regardless of congestion or delays in container handling").

OOCL failed to refute this argument. OOCL's expert Jensen posited simply that the failure to ship an empty container "*could* . . . result" in a shipper in Asia not booking with OOCL, due to an "insufficient amount of containers" in Asia "during parts of the market crunch". APP-4024 (Jensen Report) (emphasis added). But Jensen did not cite any evidence that OOCL *actually* ran out of empty containers at origin ports or lost bookings as a result of equipment shortages. APP-1030 (Jensen Dep. Tr. 137:15-22) ("Q Are you aware of whether OOCL ever made a forecast that it would run out of empties and adjusted any of its operations accordingly? A *I don't know for OOCL specifically*, but I know this was a key concern across many carriers during the worst of the pandemic disruptions"). OOCL's Proposed Findings of Facts and Responses to BBBY's Proposed Findings of Fact likewise offer *no evidence* demonstrating any actual opportunity costs associated with BBBY's containers; instead, OOCL argues generally that "[o]cean carriers

suffered significant lost opportunity costs”—a careful phrase that stops short of claiming OOCL *itself* suffered lost opportunity costs—and quotes Mr. Jensen, who also failed to present any evidence about OOCL’s opportunity costs. RPFF ¶ 786; RRPFF ¶ 358. BBY’s showing that OOCL suffered no opportunity costs from temporarily out-of-service containers because OOCL was able to run its vessels full accordingly stands unrefuted.

iii. OOCL’s detention and demurrage charges served only to maximize OOCL profits, as they bore no relationship to OOCL’s low carrying costs for the containers.

BBY also presented evidence that OOCL’s detention and demurrage charges were not justified by OOCL’s actual “carrying” costs—the costs associated with buying, owning, and maintaining containers. Using publicly available sources, including government sources and SEC filings, Mr. McCown estimated container purchase costs, maintenance costs, and land storage costs, adjusting for factors like depreciation and salvage value. He clearly laid out his methodology for both detention and demurrage. *See* APP-3781-3782, 3784–86 (McCown Report ¶¶ 130–31, 141–44). This analysis led him to conclude that OOCL’s “actual expenses associated with the carrying costs of equipment” were approximately *one percent* of OOCL’s per diem rates. *See* APP-3787 (McCown Report ¶ 153). OOCL failed to offer any contrary evidence of OOCL’s actual carrying costs. *See* CPFF ¶¶ 354, 356, 358; RRPFF ¶¶ 354, 356, 358.¹⁴ Thus, OOCL failed to rebut BBY’s prima facie case and failed to justify the enormous gulf between OOCL’s actual equipment carrying costs and the rates OOCL charged BBY.

¹⁴ Mr. McCown’s detention and demurrage analysis included comparisons based on his experience leading Trailer Bridge, which the Initial Decision characterized as an “outdated” benchmark (while at the same time criticizing OOCL’s benchmark analysis as giving the impression of being “cherry-picked and not representative”). ID at 151. However, Mr. McCown’s estimate of OOCL’s carrying costs was based on *contemporary* data. *See, e.g.*, APP-3782 (McCown Report ¶¶ 131, 131 n.44, 131 n.55) (discussing method of estimating container ownership costs and citing recent Internet sources and an SEC filing by ZIM Integrated Shipping Services Ltd.). If the Commission does not find either party’s expert testimony on rates persuasive, a remand allowing for additional submissions, potentially including additional specific expert testimony, would remedy that concern.

iv. OOCL's detention and demurrage rates unreasonably burdened BBY more than other shippers.

OOCL's charges, like the charges at issue in *Volkswagenwerk*, were neither uniform nor fair. Instead, OOCL's rates unfairly forced some shippers, particularly North America-based customers that paid tariff rates, to effectively subsidize other regions or customers that OOCL wanted to favor with low detention and demurrage rates, perhaps for business development or strategic purposes. In order to give favored customers rates that were priced *below* what was necessary to compensate OOCL for its operational costs, OOCL apparently overcharged customers like BBY. *See* APP-553. OOCL's Andrew Donohue testified that OOCL profits from detention and demurrage charges in key U.S. regions, such as the Pacific Southwest, and that these profits are used to "recoup" costs in other locations or with respect to customers that enjoy special rates on which OOCL loses money:

Q. In addition to covering its costs for these rates, did OOCL profit off of the demurrage charges it charged its customers?

A. Yes. There was an element of profit.

Q. Can you describe that element in more detail?

A. Actually, I should be specific. I can't speak for all locations around the world. But there were some areas where it was cost plus. So there was a margin on the demurrage rate. So we did experience a profit on the demurrage charge. ***But there were other areas where we were at a loss, and we had to try and recoup.*** So it's fluid depending on the location.

Q. Which areas would there be profit?

A. Pacific northwest, Pacific southwest, south Atlantic, sometimes the northeast.

Q. What about the region that includes LA/Long Beach?

A. So speaking strictly about our tariff rate, ***yes, there would be profit in LA/Long Beach. But for individual service contracts that have customized demurrage rates or detention rates, it may not be a profit.*** We could be accepting those terms *at a loss*.

APP-553 (Donohue Dep. Tr. 76:6–77:5) (emphasis added). In other words, customers like BBY that received the identical benefit of being able to use equipment past free time but that operated in regions in which OOCL designed rates to be profitable had to pay a "relatively large charge", *Volkswagenwerk*, 390 U.S. at 281, while other customers in different locations or with discounted

rates received equal or “greater” benefits at a fraction of the cost, mirroring the facts of *Volkswagenwerk*.

v. BBY proved that OOCL’s conduct was the proximate cause of BBY’s claimed losses.

BBY presented sufficient evidence to establish that OOCL’s high detention and demurrage rates were the proximate cause of BBY’s claimed loss. *See* ID at 515; 46 C.F.R. § 545.4(e); *see also Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, FMC Dkt. No. 96-05, 2001 WL 865708, at *80 n.75, (FMC June 1, 2001) (“[A] party must show that it is entitled to a specific reparation, *i.e.*, that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty’”); *Hapag-Lloyd, A.G. and Hapag-Lloyd (Am.) LLC – Possible Violations of 46 U.S.C. § 41102(c)*, FMC Dkt. No. 21-09, 2022 WL 1239377, at *34 (FMC ALJ Apr. 22, 2022) (payment of detention and demurrage charges is sufficient to satisfy this burden). BBY challenges the reasonableness of OOCL’s assessment of the detention and demurrage charges paid by BBY, including the reasonableness of the daily rates assessed. With respect to the imposition of the charges, as discussed above, BBY established causation by showing that the charges were unreasonable because they failed to satisfy the incentive principle. Any detention and demurrage charges incurred during this timeframe were therefore the proximate cause of the claimed loss, in the amount of the improper charges themselves. With respect to the daily rate levels, BBY had to pay more than a reasonable rate because OOCL set the detention and demurrage rates unreasonably high. For all of the detention and demurrage charges at issue, it is undisputed that BBY actually paid the charges, and BBY seeks no damages for detention or demurrage charges beyond the amounts it actually paid, so there is no need to prove a chain of causation beyond payment of the charges themselves. Thus, for both the imposition of the charges and the rate levels of those charges, BBY has established proximate

cause. *See, e.g., William R. Adair v. Penn-Nordic Lines, Inc.*, FMC Dkt. No. 1695(F), 1991 WL 383091, at *23 (FMC ALJ Sept. 24, 1991) (“proof of injury or damages must rest on reliable evidence that shows that the violation of law was the proximate cause of the damages”).

C. If the Commission deems BBY’s showing insufficient, the Commission should remand for additional proceedings.

As noted above, none of OOCL’s proffered expert reports or trial submissions provide affirmative evidence of OOCL’s opportunity costs, carrying costs, or actual costs that justify OOCL’s detention and demurrage rates. *See* CPFF ¶¶ 354, 356, 358; RRPFF ¶¶ 354, 356, 358; APP-4010–4028 (Jensen Report). Therefore, BBY’s cost information should be given due weight in the absence of contrary cost information.

However, if the Commission deems BBY’s evidence to have been insufficient, the appropriate remedy is not outright rejection of the claim, but instead “remand for the submission of evidence that is sufficient to support the” claim. *MCS Indus.*, 2024 WL 5714531, at *1, *15–16; *see also Color Brands, LLC*, 2024 WL 246193, at *2. Therefore, if necessary, the Commission should remand to allow BBY to narrowly supplement and represent its evidence, such as submitting an updated cost-benefit analysis, seeking additional benchmark cost data from OOCL (or other carriers), or providing additional expert analysis of carrier rates and costs.

II. The Initial Decision properly found that OOCL retaliated against BBY with respect to the 2022–23 service contract year and BBY should be awarded reparations in the form of doubled lost profits based on BBY’s showing in the record or the Commission should remand for further proceedings.

A. Legal Standard

As noted above, when the evidentiary support for a calculation of reparations is deemed insufficient, the appropriate remedy is not outright rejection of the claim but “remand for the submission of evidence that is sufficient to support the” claim. *MCS Indus.*, 2024 WL 5714531, at *1, *15–16 (remanding for the submission of evidence sufficient to support reparations sought by

the complainant and citing to Rules 251 and 252); *see also Color Brands, LLC*, 2024 WL 246193, at *2 (affirming initial decision on default but remanding for further consideration of reparations).

B. The Initial Decision properly found that OOCL retaliated against BBY with respect to awarded volume for the 2022–23 shipping year.

The Initial Decision correctly found that OOCL’s decision to reduce BBY’s FEU volume for the 2022–23 shipping year was “due to retaliation”, ID at 173–74, 194 (“The evidence supports finding that OOCL reduced the MQC it offered to BBY in 2022–23 by 17% due to retaliation”), but the Initial Decision inappropriately disregarded BBY’s lost profits calculation as inapplicable without allowing additional discovery or submissions as to the proper measure of reparations in light of OOCL’s established retaliatory conduct, *see* ID at 194–95.

C. BBY presented ample evidence to support a reasonable inference of BBY’s loss resulting from OOCL’s illegal retaliatory conduct.

With respect to lost profits reparations, the Initial Decision concluded that there was a “time period mismatch” in the data used to calculate profits per container based on BBY’s use of containers shipped from May 1, 2020 through April 30, 2022. ID at 194–95, ¶¶ 386–87. In Chief Judge Wirth’s view, this meant that BBY did not “adequately support[]” its claimed lost profits with the evidence. ID at 195. But it is reasonable to extrapolate lost profits calculations derived from data based on cost of sales, product markets, and profitability for containers shipped during the 2020 through 2022 shipping years—which took into account data from the 2022–23 shipping year—and apply it to containers shipped during late 2022 and early 2023.

First, there is significant support in the record for BBY’s lost profit calculations, which are based on high-quality data and a rigorous methodology and, indeed, contain sales data that extends into the 2022–23 shipping year. As noted in BBY’s Proposed Findings of Facts, BBY’s Senior Director of Financial Analysis, Rick Cuniff, used relevant inputs used to calculate the profitability for each container shipped within the 2020 through 2022 shipping years, including

the contents of each container, their SKUS, retail value, item cost, extended retail value, extended cost, total paid shipping expense, average retail sold, unit cost, sales, cost of sales, margin percentage, port of delivery, carrier, purchase order number, product description, and quantity. CPFF ¶¶ 531, 534. In other words, the data relied upon reflects *actual sales* of SKUs actually shipped by BBY to determine the average profitability per container of the containers BBY shipped in that time frame. APP-283 (Cunniff Dep. Tr. 42:9-17) (“This tab reflects the sales of the SKUs that were received on the containers from the previous tab over the window of time . . . May 1, 2020 ***through June of 2022***, based on sales records”) (emphasis added). Rick Cunniff matched source data about shipment details and container contents to purchase orders and SKU numbers, using receiver information to make the most accurate approximation of profits based on when the container was received. *See* CPFF ¶¶ 535–39. Mr. Cunniff also testified that he subtracted the landed cost of goods sold, which covered both purchase costs and freight costs. *See* CPFF ¶ 540.

While Mr. Cunniff’s analysis utilized containers shipped between May 2020 and April 2022 to determine average profitability for containers shipped in that timeframe, the data included within BBY’s analysis included analysis of data within the 2022–23 shipping year, including:

- (1) actual sales of SKUs through June 2022, *see* APP-283 (Cunniff Dep. Tr. 42:9-17);
- (2) data regarding inventory on hand at the end of calendar year 2022 to determine sell-through of products, *see* APP-288 (Cunniff Dep. Tr. 63:11-65:4) (“[W]e sold through everything that was received on those containers”);
- (3) further data, including SKUs from 2023, as an additional analysis on sell-through, *see* APP-283 (Cunniff Dep. Tr. 45:7-15) (“But these are receipts of SKUS in that window of time, 2019-2023.”).

Thus, Mr. Cunniff’s lost profits analysis is sufficient to allow the Commission to reasonably infer reparations for injury resulting from OOCL’s retaliation in connection with the

2022–23 shipping year. Exact precision is not required in calculating such reparations, so long as they may be “reasonably inferred”. *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, FMC Dkt. No. 21-11, 2024 WL 4034610, at *21 (FMC Aug. 27, 2024) (Order Affirming Initial Decision) (“Importantly, [Complainant] does not need to provide absolute precision, it merely needs *evidence sufficient to reasonably infer the actual loss*”) (citing *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, FMC Dkt. No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022) (emphasis added)). This standard exists because, when it comes to lost profits based on a carrier’s failure to carry containers, the carrier’s “wrongful Shipping Act violations prevent the Commission from calculating damages based on actual shipments carried by [the carrier]” and “to prevent [the carrier] from profiting from its wrongdoing, the Commission must use just and reasonable estimates from the relevant data.” *OJ Commerce, LLC*, 2024 WL 4034610, at *29 (citation omitted). Relying on Mr. Cunniff’s methodology and data analysis, and extrapolating from this data to estimate the 2022–23 lost profits, provides a reasonable, accurate, and conservative process for approximating BBY’s lost profits.

Second, because shipping costs were significantly lower in 2022–23 (*see* Bureau of Transportation Statistics, Freight Rates in Dollars per 40-Foot Container for East Bound and West Bound: March 2020–August 2024, <https://www.bts.gov/browse-statistical-products-and-data/info-gallery/freight-rates-dollars-40-foot-container-east>, showing transpacific eastbound freight rates moving from \$9,210 per FEU as of April 1, 2022 to \$2,240 per FEU by January 1, 2023 and \$2,010 per FEU by April 1, 2023), the extrapolation of data from earlier shipping months does not overstate, but instead understates, lost profits. Accordingly, applying Mr. Cunniff’s lost profits analysis to the 2022–23 shipping year would be “just and reasonable”, and would, if

anything, give OOCL the advantage of **reducing** the profits lost to high shipping prices that no longer existed at the time. *See OJ Commerce, LLC*, 2024 WL 4034610, at *29.

Third, it is unfair to deny BBY reparations entirely based on a perceived “time period mismatch” that OOCL never argued and that was raised for the first time *sua sponte* in the Initial Decision, when BBY no longer had an opportunity to remedy the purported failure of proof. Notably, during Mr. Cunniff’s deposition, OOCL **did not inquire** about the applicability of his lost profits analysis to the 2022–23 shipping year.¹⁵ Thus, OOCL never raised this issue during discovery or in defense of its position, despite Mr. Cunniff making clear that his analysis used containers shipped during the 2020 through 2022 shipping years with underlying data including sales and inventory data through the end of 2022 and SKUs in 2023. Crucially, Mr. Cunniff never testified that he believed the data **would not** reasonably apply to the 2022–23 shipping year or that he would have used a different approach for 2022–23—because OOCL never asked—and the record thus supports the use of his analysis to reasonably infer the reparations warranted in light of the Initial Decision’s well-supported finding that OOCL retaliated against BBY in the 2022–23 shipping year.

D. BBY’s prima facie showing of lost profits for the 2022–23 shipping year was sufficient to sustain an award of \$89,812,121.94, or, alternatively, the Commission should remand for further discovery and proceedings.

For the reasons described herein, BBY made a prima facie showing of lost profits for the 2022–23 shipping year sufficient to sustain an award of lost profits reparations of \$44,906,060.97, doubled in light of OOCL’s unlawful retaliation to \$89,812,121.94, consistent with the

¹⁵ Mr. Cunniff confirmed at his deposition that his lost profit analysis **did** take inventory into account **as of the end of 2022**—and OOCL never argued that this data range was insufficient to estimate lost profits for the 2022–23 shipping year. *See* APP-288 (Cunniff Dep. Tr. 64:7-65:4) (“Q. And if we look up to the top of the spreadsheet, in lines 2 and 3, columns J and K, it says, ‘May 1, 2019 to 2023.’ Do you see that, sir? A. Yes. . . . Q. So does this, this spreadsheet, encompass the period from May 1, 2019 through 2023? A No. What it looks like it represents -- just jumping in and trying to clarify -- is we -- I took SKUs that were sold in that window -- sold and received in that window of time as a sample set, and then looked at how much inventory was on hand at the end of 2022.”).

Commission's decision in *OJ Commerce*. See ID ¶¶ 381–82. Alternatively, the Commission should remand for further discovery and proceedings regarding the appropriate reparations in support of the Initial Decision's finding of retaliation.

If the Commission concludes that additional data from the 2022–23 shipping year is necessary to calculate reparations for OOCL's retaliatory conduct, the Commission should not reject the claim outright, but instead should “remand for the submission of evidence that is sufficient to support the” claim. *MCS Indus.*, 2024 WL 5714531, at *1. This limited remand would ensure that BBBY is made whole for OOCL's blatant retaliation and that OOCL does not benefit from its failure to challenge the applicability of BBBY's lost profits analysis to the 2022–23 shipping year to avoid (1) compensation owed to BBBY based on OOCL's improper conduct and (2) doubling of BBBY's reparations based on the retaliatory nature of that conduct.

The Commission, and the public generally, has an interest in ensuring that carriers in OOCL's position do not simply “get away with” illegal retaliation because of difficulties in calculating the exact dollar value of injuries caused by their retaliatory conduct. That is why the Commission, in *OJ Commerce*, emphasized that exact precision is not required when calculating reparations, but rather, “to prevent [the carrier] from profiting from its wrongdoing, the Commission must use just and reasonable estimates from the relevant data.” *OJ Commerce, LLC*, 2024 WL 4034610, at *29. Here, in light of the Initial Decision's correct finding that OOCL engaged in unlawful retaliation affecting the 2022–23 shipping year, the Commission should, if it finds the record evidence submitted so far is insufficient to permit a “just and reasonable estimate[]” of the harm done by OOCL, remand for further submissions and/or discovery so that it can fashion an appropriate reparations award, subject to doubling to punish OOCL for its unlawful retaliation and deter such conduct in the future. *Id.*

CONCLUSION

For the reasons discussed above, the Commission should award Complainant reparations in connection with Complainant's detention and demurrage claims, and double reparations for OOCL's proven retaliation affecting the 2022–23 shipping year. In the alternative, if the Commission deems the current factual record insufficient to support such awards of reparations, the Commission should remand for further submissions on them. In all other respects, the Commission should affirm the Initial Decision.

Dated: June 23, 2026

Respectfully submitted,

HUTH REYNOLDS LLP

/s/ Gregory A. Crapanzano

Matthew J. Reynolds

reynolds@huthreynolds.com

Karl C. Huth

huth@huthreynolds.com

Gregory A. Crapanzano II

gcrapanzano@huthreynolds.com

J. Lee Hill

lhill@huthreynolds.com

Jie Shi

jshi@huthreynolds.com

J. Luke Rushing

jlushing@huthreynolds.com

Mohini P.B. Rarrick

mpriya@huthreynolds.com

Heewan Noh

hnoh@huthreynolds.com

(631) 263-3648

41 Cannon Court

Huntington, NY 11743

*Counsel for Complainant 20230930-DK-
Butterfly-I, Inc., formerly known as Bed Bath &
Beyond Inc.*

Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing copies of the document to their counsel of record listed below:

Matthew Thomas
Keith B. Letourneau
BLANK ROME LLP
1271 Avenue of the Americas
New York, NY 10020
(212) 885-5348
Matthew.Thomas@BlankRome.com
Keith.Letourneau@BlankRome.com

Rebecca A. Fenneman
Eric C. Jeffrey
JEFFREY/FENNEMAN LAW + STRATEGY, PLLC
700 12th St., NW, Suite 700
Washington, DC 20005
RFenneman@JeffreyFenneman.com
EJeffrey@JeffreyFenneman.com

Counsel for Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited

Dated: June 23, 2026

/s/ Gregory A. Crapanzano
Gregory A. Crapanzano II
*For Complainant 20230930-DK-Butterfly-I,
Inc., formerly known as Bed Bath & Beyond Inc.*